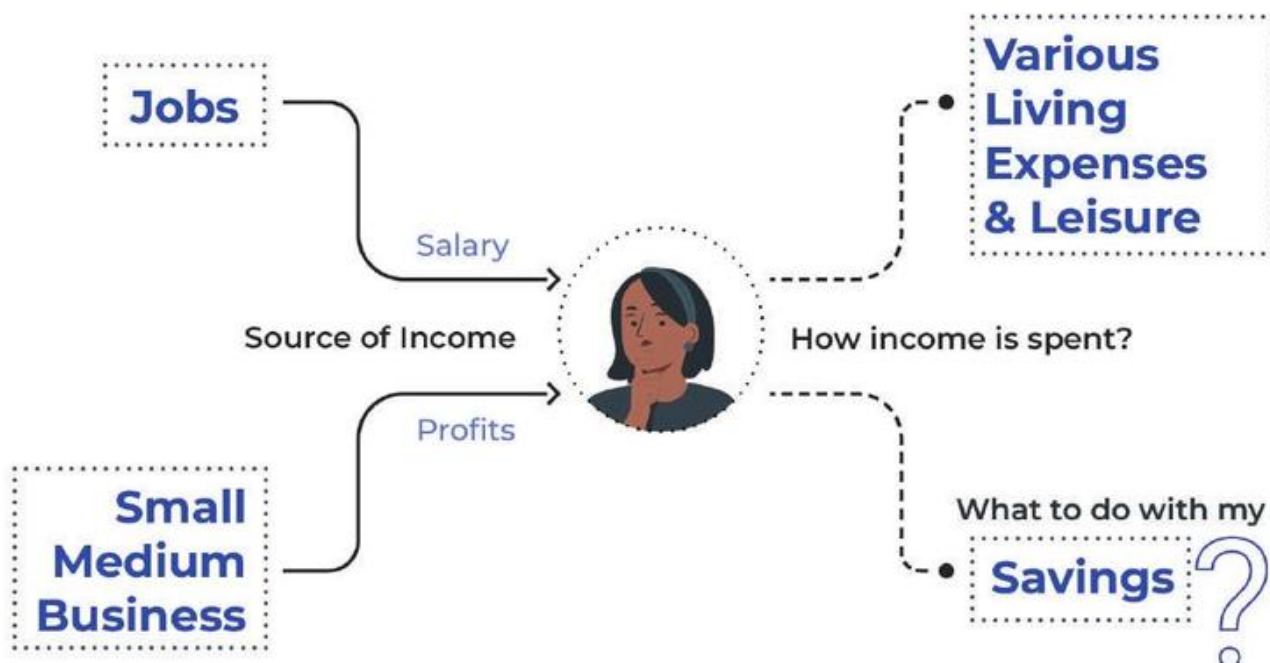


1.1 Role of Stock Market

A common person earns in multiple ways. They might have jobs and own small enterprises at the same time, therefore they earn a livelihood by earning a salary from jobs or profits from small-medium businesses (SMBs).



A portion of this income is spent on various living expenses, leaving the rest as savings for an average person. So, what can one do with the money saved? Assume that the money is just kept idle at home!

From a financial standpoint this is not the best use of capital

For individuals -



- Cash savings does not generate adequate returns for future financial security.
- Idle cash is a lost opportunity as it is not capable of earning more money on its own.
- Over time it reduces in value due to inflation.

For economy-

- Companies need funds to grow.
- Idle cash at home does not contribute to the growth of economies.
- Money invested in companies will lead to growth for the company and economy and in the exchange, personal savings would also grow with investment returns.



As a result, it is critical that individual savings should be invested in the system so that it can be reinvested and used for growth rather than being left idle. This is where stock markets come in. It acts as a framework to invest such savings back in the economy.